

FIXED DEPOSITS & RECURRING DEPOSITS - TERMS & CONDITIONS

State Bank of India

1. FIXED DEPOSIT (TERM DEPOSIT)

Overview

- Safe investment with guaranteed returns
- Fixed interest rate for entire tenure
- Deposits insured by DICGC up to ₹5 lakhs
- Can be used as collateral for loans

Types of Fixed Deposits

Regular Fixed Deposit

- **Minimum deposit:** ₹1,000
- **Maximum deposit:** No limit
- **Tenure:** 7 days to 10 years
- **Interest payment:** Quarterly, half-yearly, annually, or at maturity

Tax Saver Fixed Deposit (80C)

- **Minimum deposit:** ₹1,000
- **Maximum deposit:** ₹1.5 lakhs (for tax benefit)
- **Lock-in period:** 5 years (no premature withdrawal)
- **Tax benefit:** Deduction under Section 80C of Income Tax Act
- **Interest rate:** Same as regular FD

SBI Flexi Deposit

- **Minimum deposit:** ₹10,000
- **Features:** Linked to savings account, auto-sweep facility
- **Benefit:** Earns FD interest on surplus balance, automatically available for withdrawal

Senior Citizen Fixed Deposit

- **Age:** 60 years and above
- **Additional interest:** 0.50% p.a. over regular rates

- **All other terms:** Same as regular FD

NRE/NRO Fixed Deposit

- **For:** Non-Resident Indians
 - **Currency:** INR (Indian Rupees)
 - **Interest rates:** Same as resident deposits
 - **Repatriation:** NRE fully repatriable, NRO partially repatriable
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2. INTEREST RATES (Effective from February 2026)

Domestic Term Deposits (Below ₹2 Crore)

Tenure	General Public	Senior Citizens
7-45 days	3.00%	3.50%
46-179 days	4.40%	4.90%
180-210 days	5.00%	5.50%
211 days - 1 year	5.50%	6.00%
1 year - 2 years	6.50%	7.00%
2 years - 3 years	6.50%	7.00%
3 years - 5 years	6.50%	7.00%
5 years - 10 years	6.50%	7.00%

Highest Rate: 7.00% p.a. for senior citizens (1-10 years)

Bulk Deposits (₹2 Crore and Above)

- Negotiable rates
 - Contact branch for customized rates
 - Additional 0.25%-0.50% depending on amount
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3. INTEREST CALCULATION & PAYMENT

Calculation Method

- **Simple interest:** For tenures < 1 year
- **Compound interest:** For tenures ≥ 1 year
- **Compounding frequency:** Quarterly

Formula

- **Simple:** Interest = Principal $\times$ Rate $\times$ Time / 100
- **Compound:** $A = P(1 + r/n)^{nt}$
 - Where: A = Maturity amount, P = Principal, r = Rate, n = Compounding frequency, t = Time

Interest Payment Options

1. **Monthly:** Interest credited to savings account monthly
2. **Quarterly:** Interest credited every 3 months
3. **Half-yearly:** Interest credited every 6 months
4. **Annually:** Interest credited yearly
5. **At maturity:** Principal + interest paid together (cumulative)

Example Calculation

- **Principal:** ₹1,00,000
- **Rate:** 6.50% p.a.
- **Tenure:** 3 years
- **Compounding:** Quarterly

Maturity Amount = $1,00,000 \times (1 + 0.065/4)^{(4 \times 3)} = ₹1,21,387$

4. DEPOSIT OPENING PROCESS

Opening Modes

1. **Branch visit:** Fill form, deposit cash/cheque
2. **Net banking:** Open FD online from existing account
3. **Mobile banking (YONO):** Instant FD opening
4. **Phone banking:** Request via customer care (registered customers only)

Documents Required

- For new customers:
 - KYC documents (Aadhaar, PAN, address proof)
 - Photographs
 - Bank account details
- For existing customers:
 - No additional documents if KYC compliant
 - Can open instantly via digital channels

Receipt

- **FDR (Fixed Deposit Receipt):** Issued at branch
 - **Advice:** For online FDs, e-advice sent via email
 - **Passbook entry:** Reflected in savings account passbook
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5. PREMATURE WITHDRAWAL

Rules

- Allowed for all FDs except Tax Saver FD (5-year lock-in)
- Minimum 7 days from deposit date
- Penalty: 1% reduction in applicable interest rate

Calculation

- Interest rate = Rate for tenure held - 1% penalty
- Example: 3-year FD broken after 1 year
 - Original rate: 6.50%, Held for 1 year rate: 5.50%
 - Penalty rate: 5.50% - 1% = 4.50%

Process

1. Visit branch with FDR and ID proof
2. Request premature closure
3. Interest calculated as per penalty rates
4. TDS deducted if applicable
5. Net amount credited to account

6. LOAN AGAINST FIXED DEPOSIT

Overdraft Facility

- **Loan amount:** Up to 95% of deposit value
- **Interest rate:** FD rate + 1%-2% spread
- **Tenure:** Can be availed anytime during FD tenure
- **Repayment:** Flexible, can be repaid anytime

Features

- No processing fees
- No prepayment penalty
- FD remains intact, continues earning interest
- Interest charged only on utilized amount
- Ideal for short-term liquidity needs

Process

- Submit loan application at branch
 - Lien marked on FD
 - Overdraft account opened
 - Withdraw funds as needed
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7. AUTO-RENEWAL

Default Renewal

- FDs auto-renewed at prevailing rates on maturity (if not claimed)
- Same tenure as original deposit
- Renewal can be cancelled by visiting branch before maturity

Options

- **Auto-renewal:** Yes/No (can be selected at opening)
 - **Interest payment:** Can be changed during renewal
 - **Tenure:** Can be modified on renewal
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8. NOMINATION

Importance

- Nominee receives FD proceeds on depositor's death
- Simplifies claim process
- Up to 2 nominees allowed

Process

- Submit nomination form at account opening
 - Can be added/changed later
 - Required documents: Nominee details and KYC
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9. TAX IMPLICATIONS

TDS (Tax Deducted at Source)

- **Threshold:** ₹40,000 for general public, ₹50,000 for senior citizens (annual interest)
- **TDS rate:** 10% (if PAN available), 20% (if no PAN)
- **Exemption:** Submit Form 15G/15H if income below taxable limit

Tax on Interest

- Interest earned is taxable under "Income from Other Sources"
 - Must be reported in ITR
 - TDS certificate (Form 16A) issued if TDS deducted
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10. RECURRING DEPOSIT (RD)

Overview

- Monthly deposit scheme
- Build savings with regular monthly contributions
- Fixed returns at maturity

Features

- **Minimum monthly deposit:** ₹100

- **Maximum monthly deposit:** No limit
- **Tenure:** 1 year to 10 years
- **Deposit frequency:** Monthly (on specific date)

Interest Rates (Same as FD)

Tenure	Interest Rate	Senior Citizens
1 year	5.50%	6.00%
2 years	6.50%	7.00%
3 years	6.50%	7.00%
5 years	6.50%	7.00%

11. RD DEPOSIT & WITHDRAWAL

Monthly Deposit

- **Due date:** Specific date each month (chosen at opening)
- **Grace period:** 7 days from due date
- **Payment mode:**
 - Auto-debit from savings account (recommended)
 - Branch deposit
 - Online transfer

Penalty for Non-payment

- **Late payment:** ₹1.50 per ₹100 per month of default
- **If 4 consecutive defaults:** Account may be closed, balance returned with penalty

Premature Withdrawal

- Allowed after 3 months
- Penalty: 1% reduction from applicable FD rate
- Calculation: Same as FD premature withdrawal

Maturity

- Interest compounded quarterly

- Maturity amount = Sum of deposits + compound interest
 - Auto-credited to linked savings account
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12. RD OPENING PROCESS

How to Open

1. **Branch:** Fill RD application form, submit KYC
2. **Net banking:** Open online from existing account
3. **YONO app:** Instant RD opening

Documents

- Existing customers: No additional documents
- New customers: KYC documents (Aadhaar, PAN, address proof)

Auto-debit Setup

- Mandatory link to savings account
 - Standing instruction for monthly debit
 - Ensure sufficient balance on due date
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13. LOAN AGAINST RD

Eligibility

- Available after 6 months of account opening
- Loan amount: Up to 80% of balance

Terms

- **Interest rate:** RD rate + 1%-2%
 - **Repayment:** Flexible, within RD tenure
 - **Processing fee:** ₹100 + GST
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14. RD MATURITY CALCULATION

Example

- **Monthly deposit:** ₹5,000
- **Tenure:** 5 years (60 months)
- **Interest rate:** 6.50% p.a. (compounded quarterly)

Maturity Amount ≈ ₹3,51,000 (approx)

Formula:

$$M = P \times [(1 + r/4)^{(4 \times n)} - 1] / [1 - (1 + r/4)^{(-1/3)}]$$

Where:

- M = Maturity amount
 - P = Monthly installment
 - r = Annual interest rate
 - n = Tenure in years
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15. SPECIAL SCHEMES

SBI Annuity Deposit Scheme

- Monthly interest payment on deposit
- Ideal for retirees
- Minimum deposit: ₹1,000

SBI Multi-Option Deposit (MOD) Scheme

- Combination of FD and Savings
 - Balances above threshold auto-swept to FD
 - Instant liquidity when needed
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16. CUSTOMER SERVICE

Contact Points

- **Customer care:** 1800-11-2211, 1800-425-3800
- **Email:** customercare@sbi.co.in
- **Website:** www.sbi.co.in

- **Branch:** Visit during banking hours

Online Services

- View FD/RD details
 - Download interest certificates
 - Premature closure (online) - select FDs
 - Auto-renewal setup/cancel
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17. IMPORTANT NOTES

Safety

- Deposits insured by DICGC up to ₹5 lakhs per depositor
- Interest rates guaranteed for tenure
- No market risk

Tax Planning

- Use Tax Saver FD for ₹1.5 lakh exemption under 80C
- Senior citizens benefit from higher rates and higher TDS threshold
- Consider tax implications before choosing interest payout frequency

Best Practices

- Ladder FD maturity dates for regular income
 - Opt for cumulative deposits for higher returns
 - Use auto-renewal to avoid missing reinvestment
 - Keep nomination updated
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Disclosure: Interest rates subject to change without notice. Current rates available at www.sbi.co.in. TDS deducted as per Income Tax Act. Terms & conditions apply.

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